

Fundamentals of Entrepreneurial Management-1

Introduction

“Fundamentals of Entrepreneurial Management” is an integrative capstone course in entrepreneurship. It is based on the insight that in today’s business environment entrepreneurial management skills are key for general managers and entrepreneurs alike. The course introduces cutting-edge material – tools, frameworks, perspectives – that allow you to acquire the basics of entrepreneurial management.

Course Objectives

The course pursues two main objectives. First, it aims at enabling you to turn an idea into a revenue-generating business in contexts varying from startup to corporate settings. The course offers valuable academic and practical knowledge and management tools to foster disciplined creativity, useful for your future careers as entrepreneurial leaders. Second, the course addresses your potential concerns and doubts about whether you “have what it takes” to be an entrepreneur. We do this by opening up the “black box” of entrepreneurship and by bringing insight into the entrepreneurship process.

Course Outcomes

Learning Goals & Learning Objectives

LG1: Entrepreneurial mindset

LO 1. Students will support an innovation mindset and bring creativity into problem solving.

LO 2. Students will assess and develop the skills of the entrepreneurial manager.

LO 3. Students will be able to turn an idea into a revenue-generating business, in various contexts: for example, in a corporate setting, family business, or start up.

LO 4. Students will be able to design the business model, gather resources, and communicate the new opportunity to stakeholders.

LO 5. Students will identify the catalysts of personal and organizational change to promote the entrepreneurial and innovative behavior that allows adaptation to changing business environments.

Wasserman, N. The Founder's Dilemmas: Anticipating and Avoiding the Pitfalls That Can Sink a Startup. Princeton University Press, 2012.

Learning Outcomes

These are the Learning Outcomes:

- Critically evaluate relevant information for improved decision-making. (R01)
- Apply a structured and rigorous process for analyzing business situations and decision-making, integrating phases such as problem diagnosis, selection of criteria, identification of alternatives, weighted analysis, and selection of an alternative with its corresponding action plan. (R02)
- Strategically analyze the value chain, stakeholders, and success factors of a business, considering competitive strategies and relevant contexts. (R03)
- Analyze financial statements to understand a company's issues, considering the limitations of financial information. (R05)
- Apply tools for controlling corporate strategy. (R06)
- Effectively apply negotiation techniques in any environment, achieving stable outcomes for all parties. (R08)
- Apply an anthropological model of behavior in organizations, emphasizing concepts of motivation, trust, authority, power, and commitment. (R09)
- Integrate economic efficiency, ethical criteria of respect for human dignity, and planetary sustainability in decision-making. (R10)
- Lead diverse teams by optimizing resources and inspiring trust, which translates into commitment and autonomy for the rest of the team. (R11)
- Apply necessary tools to prevent and detect fraudulent or unethical behaviors, developing a strong ethical foundation in decision-making. (R12)
- Prepare structured, concise, and clear executive reports for business decision-making. (R13)
- Create rigorous, viable, and sustainable business plans for presentation to potential investors. (R14)
- Design and implement strategic, holistic sustainability plans with a long-term perspective. (R18)
- Build innovation processes with an impact on the organization and market. (R19)
- Develop effective communication techniques. (R20)

- Analyze the impact of business decisions from a general management perspective, operating within a global competitive context. (R22)
- Apply an entrepreneurial mindset, with a creative and open attitude, driving necessary changes with energy and personal responsibility. (R23)
- Develop trust and alignment among team members with the company's mission. (R25)
- Evaluate the impact of global macroeconomic and industry-specific microeconomic environments on concrete business activities to formulate action plans and adapt to uncertain contexts. (R26)

Formative Activities

Time distribution for each formative activity:

- Sessions with the professor (AF1) - 22h
- Individual student work (AF2) - 15h
- Teamwork (AF3) - 10h
- Assessment & Exams (AF4) - 3h

Sustainable Development Goals

While not primarily focused on sustainability, this course meaningfully incorporates sustainability-related content and perspectives where relevant. Topics such as environmental impact, social responsibility, or ethical considerations are introduced in connection with the core subject, through readings, activities, or discussions. This integration enhances students' understanding of sustainability within the broader context of business and society.

It addresses the following SDGs:

- SDG3. Good Health and well-being
- SDG1. No poverty
- SDG4. Quality education
- SDG5. Gender equality
- SDG2. Zero hunger
- SDG6. Clean water and sanitation
- SDG7. Affordable and clean energy
- SDG8. Decent work and economic growth
- SDG9. Industry, innovation and infrastructure

- SDG10. Reduced inequalities
- SDG13. Climate action

Evaluation

The course grade will be determined as of IESE policies. It will be calculated as follows:

- Other written activities (SE1) - 15%
- Performance in class (SE2) - 50%
- Exams (SE3) - 35%

Assignments and presentations

Students will choose 1 out of 5 possible readings/case to write a reflection and analysis of the case. Choose 1 case from sessions 1, 2, 6, 7 or 10 to complete this.

The analysis will consist of an up to 1-page reflection on what you think is a core issue in the case and how you would tackle it. Provide an informed opinion, substantiated by valid sources. Please be prepared to share your arguments or logic in class.

The analysis is due at 8pm on the day before your chosen topic is discussed, via Virtual Campus.

Class participation

The most important part of your learning in this course will take place in the classroom. Participation grades will be determined by your active participation in class discussions and/or by active listening and being engaged in the class.

Participation and contribution to class learning will be determined by preparation for class, active participation in class discussions, and your ability to demonstrate that you have prepared the materials assigned to a particular class, both in terms of quality and quantity (with greater weight on the quality and depth of your answers).

Exam

The exam will be an open-book group exam to be taken on campus. Instructions will be provided.

Course Policies and Principles

- Late Work: Late work will not be accepted unless arrangements have been made prior to the due date.
- In-class use of Laptops: The use of laptops and phones in the classroom can distract those around the user. Please refrain from using electronic devices during the class unless I ask in advance to bring them for particular in-class activities. You may use tablets to access cases or reading material if needed.
- Entrepreneurship, creativity, and fun: In following the principles of entrepreneurship, this course will foster a creative, interactive, and fun environment. I encourage you to look at this course as an opportunity to learn and practice the entrepreneurial skills that you will benefit from when you are out in the real world.

Content

Module 1 – Evaluating and conceptualizing the opportunity. The first sessions of the course explore the nature of business opportunities and the process of building a business. The sessions introduce a series of frameworks and tools to help in the design and planning of new ventures.

Module 2 - Gathering resources and support. An entrepreneur's fundamental challenge in implementing a new business is to identify, acquire, and manage necessary resources to "create something from nothing." In the sessions in this module, we will discuss this key challenge as well as issues around scaling the business.

Course Outline

Evaluating and Conceptualizing New Businesses.

Session 1

Case

Discussion Questions

Post-class reading

Optional podcast

Optional resources

Evaluating New Business Ideas.

Picking Winners: Startup Selection at Ardennes Capital

1. Which of these opportunities would you choose? Why?
2. What are the criteria that should be used to evaluate business opportunities? Why?

Johnson. R. Assessing a new business opportunity. EN-17-E

3D printing houses at ICON: Jason Ballard

[link](#)

Generating and evaluating new business ideas [link](#)

Session 2

Case

Discussion Questions

Reading

Optional podcast

From Idea to Business Model.

Blue River Technology (A)

1. Do you recommend a service model or an equipment model for lettuce thinning opportunity?
2. Do you think the company should go for the organic vegetable market next before attempting row crops (Jorge's bowling pin strategy)?
3. Are you concerned about the differences that have emerged between Jorge and Khosla Ventures over the strategy of Blue River Technology? Why or why not?

Amit, R., Zott, C. 2021. Business model innovation strategy. Chapter 1 (read pp. 3-18).

AMP Robotics: Developing machine vision for recycling

[link](#)

Session 3

Pre-class poll

Case

Assignment
(mandatory)

Mandatory reading

Optional resources

Optional resources

Optional resources

Testing Core Business Assumptions.

Please complete the pre-class survey; link available on Virtual Campus no later than 8 pm the day before the class

eScooter
Read the mandatory reading on Discovery Driven Planning (see below), focusing on step 1 (reverse income statement) and step 2 (pro forma operations spec). Apply step 1 and step 2 to the eScooter case (you can start from the spreadsheet available on Virtual Campus).

Based on your calculations and own insight, assess whether the venture can return the required level of profits, and indicate your response in the pre-class survey (link on Virtual Campus).

McGrath, R., McMillan, I. Discovery-driven planning. Harvard Business Review, July-August 1995

Gallo. A. A refresher on discovery-driven planning. Harvard Business Review Digital Articles 2/13/2017, pp. 2-7

Testing your idea cheaply [link](#)

Podcast Calendly: Tope Awotona

Session 4

Case

Pre-class reading (mandatory)

Post-class readings

Post-class readings

Optional resources

Process of Starting a New Business.

No case. Class is based on a simulation. Bring a laptop and positive energy to class

Mollick, E. (2019) What the Lean Startup Method Gets Right and Wrong. Harvard Business Review

Eisenmann, T.R., Ries, E., Dillard, S. Hypothesis Driven Entrepreneurship: The Lean Startup. Harvard Business Publishing
Blank S. Why the lean start-up changes everything, Harvard Business Review. 2013, 91(5): 63-72

Testing your idea cheaply [link](#)

Session 5

Case

Process of Starting a New Business II.

No case. Interactive session

Session 6

Case

Discussion Questions

Optional Reading

Assembling the Team.

Carbon Zen

1. What is your assessment of the job that Lara has done getting started and assembling the team?
2. How do you assess the equity distribution between the founding members?

Wasserman, N. The founder's dilemma. Harvard Business Review 86.2 2008: 102-109

Session 7

Pre-class poll

Case

Discussion Questions

Reading

New Business Planning.

Please complete the pre-class poll; link available on Virtual Campus no later than 8 pm the day before the class

Aparkalo (A)

1. Would you invest in Aparkalo? Why or why not?
2. What are the positive aspects of the Aparkalo business plan? What aspects need improvement? How would you address these?
3. Looking at Aparkalo's business model and projected financials: what do you think are the most important assumptions of what is needed to make this business successful? How would you test these?

Updating a classic: writing a great business plan (skim) [link](#)

Session 8

Case

Req. reading

Optional readings

Optional readings

Financing the Venture I.

No case. In-class negotiation exercise

Kerr, W., Nanda, R., and McQuade, J. Financing entrepreneurial ventures, pages 1- 18 and 30-35

How to raise money, Graham, P. ([link](#))

How venture capitalists really assess a pitch. Balachandra, L. Harvard Business Review, 2017

Optional readings

How to negotiate with VCs. Malhotra D. Harvard Business Review, 2013

Optional video

[link](#) incentives

Session 9

Case

Financing the Venture II.

No case. Interactive session

Session 10

Case

Discussion Questions

Flywire, Part A

1. Should Massaro take the CEO position? Why? Why not?

2. When it comes to future growth, should the company race for scale? Or should they slow down growth and investment? In

your answer, you can use financials posted on Virtual Campus Evolution and Revolution as Organizations Grow, Larry Grainer, HBR, 1998

Optional Readings

Optional Readings

Lessons from Coinbase's Wild Ascent: Four Rules for Scaling

[link](#)

Bibliography

Media: podcasts, videos, blogs

Raz, G. How I Built This <https://wondery.app.link/Y8DuypMu8nb>

Altman, S. How to Start a Startup (YCombinator), <https://startupclass.samaltman.com/>

Pitch Deck examples from celebrity startups,

<https://piktochart.com/blog/startup-pitch-decks-what-you-can-learn>

Articles and book chapters (optional)

Identifying venture opportunities

- Hornblower J. and Rohan D. Identifying venture opportunities. Stanford, 11/18/2008, (E-323)

- Kuemmerle W. A test for the fainthearted. Harvard Business Review, 2002, pp. 122-127 (R0205J)

- Mollick E., The unicorn's shadow, Chapter 2: Ideas – Searching for a light bulb. 2020.

Testing and validating opportunities

- Eisenmann, T.R., Ries, E., Dillard, S. Hypothesis Driven Entrepreneurship: The Lean Startup. Harvard Business Publishing.

- Blank, S., & Eckhardt, J. T. (2024). The lean startup as an actionable theory of entrepreneurship. Journal of Management, 50(8), 3012-3034.

- McGrath, R. G. (2024). Who Learns Fastest, Wins: Lean Startup and Discovery Driven Growth. Journal of Management, 50(8), 3162-3182.

Business Models

- Amit, R.; Zott, C., "Creating Value Through Business Model Innovation", MIT Sloan Management Review, Vol. 53, No. 3, 2012, pp 41 – 49.

- Osterwalder and Pigneur, Business Model Generation, Chapter 1.

Business Plans

- Green, F.J. and Hopp C. Writing a Business Plan Makes Your Startup More Likely to Succeed. Harvard Business Review, 2017.

Acquiring Resources for the Venture

- Wasserman, N., "The founder's dilemma." Harvard Business Review 86.2 (2008): 102-109.

Reference (R0802G-PDF-ENG)

- Wasserman, N., Nazeeri, & Anderson. A "Rich-vs.-King" Approach to Term Sheet Negotiations, HBS Note 9-810-119.

- Johnson R. (2012) Early-stage Companies and Financing Valuations: The Venture Capital Method.

Entrepreneurial Growth

- Kanter, M. Five top questions every entrepreneur must ask about growth. Harvard Business Review, 2011

Books (optional)

Amit, R., Zott, C. Business model innovation strategy: Transformational concepts and tools for entrepreneurial leaders. John Wiley & Sons, 2021.

Blank, S. G. The Four Steps to the Epiphany. Successful Strategies for Products that Win. Cafepress, 2010.

Eisenmann T., The Fail-Safe Startup. Penguin Books, 2021.

Fitzpatrick, R. The Mom Test: How to talk to customers & learn if your business is a good idea when everyone is lying to you, 2019.

Frodsham, H. L. Getting between the Balance Sheet. The Four Things Every Entrepreneur Should Know about Finance. Palgrave Macmillan, 2011.

Hoffman, R., Yeh, C. Blitzscaling. Penguin Random House, 2018.

Kupor, S. Secrets of Sand Hill Road: Venture capital and how to get it. Penguin Random House, 2019.

MacMillan, I.C. The Entrepreneurial Mindset. Harvard Business School Press, 2000.

McGrath, R. Seeing Around Corners: How to Spot Inflection Points in Business Before They Happen. Houghton Mifflin Harcourt, 2019.

Mullins, J. The new business road test: What entrepreneurs and executives should do before writing a business plan. Pearson UK, 2012.

Osterwalder, A. and Pigneur, Y. Business Model Generation: A Handbook for Visionaries, Game Changers, and Challengers. John Wiley & Sons, 2010.

Ries, E. The Lean Start-Up. How Today's Entrepreneurs Use Continuous Innovation to Create Radically Successful. Crown Business, 2011.

Thiel, O. Zero to One: Notes on Startups, or How to Build the Future, 2014.

Wasserman, N. The Founder's Dilemmas: Anticipating and Avoiding the Pitfalls That Can Sink a Startup. Princeton University Press, 2012.

Professor's Biography

Jeroen Neckebrouck



Full-time Associate Professor of Entrepreneurship

Jeroen Neckebrouck is Associate Professor in the Entrepreneurship Department. He is specialized in the areas of entrepreneurship, family business and governance. His work focuses on questions such as how boards can contribute to the decision-making of entrepreneurs, how family firms and professional investors can successfully deal with each other, and how governance can help entrepreneurial ventures develop and

retain skilled employees.

He has published on these topics in top-tier academic journals such as the *Academy of Management Journal*, the *Strategic Management Journal*, the *Strategic Entrepreneurship Journal*, the *Academy of Management Perspectives* and *Venture Capital*, and in leading managerial publications such as *Forbes Magazine* as well as in the World Economic Forum. His research has also received prestigious awards from the *Family Firm Institute* and the *BVA Private Equity and Venture Capital Association* for its impact on business practice.

Associate Professor Neckebrouck is an editorial board member of the *Strategic Entrepreneurship Journal*.

Before pursuing his Ph.D., he was a management consultant in the telecom industry and co-launched a platform to promote entrepreneurial acquisitions.

Areas of Interest

- * Entrepreneurial Mindset and Leadership
- * Identifying and Developing Entrepreneurial Opportunities
- * Governance of Entrepreneurial Ventures
- * Venture Capital and Private Equity